

Introduction

Jim is struggling.

He is the owner of JCB Superstores, and his competitor across town is beating him up; there is blood all over Jim's ledger. He decides it is time to take off the gloves: JCB goes public. He uses the money from the initial public offering to buy his competitor and add a few more stores around town.

With a growing sales base, Jim's clout allows him to negotiate lower prices for the office supplies he sells. He passes on part of the savings to his customers, while watching his margins widen, and plows the profits back into building more stores and updating existing ones.

Jim calls his friend, Tom, and tells him of his plans to expand the operation statewide. They chat for a while and exchange business tactics on how best to manage the expansion. When Tom gets off the phone, he decides to conduct his own research on JCB. He visits several stores and sees the same thing: packed parking lots, people pushing full shopping carts, and lines at the checkout counters.

He questions a few customers to get a sense of the demographics. At a few stores, he even chats with suppliers as they unload their wares. Back at the office, he does a thorough analysis of the financials and looks at the competition. Everything checks out, so he orders his trading partners to buy the stock at no higher than \$10 a share.

When news of the expansion plan hits the wires, the Street panics. It is, after all, a soft economy, and expanding willy-nilly when a recession looms is daft, maybe even criminal, according to some news outlets. The stock drops below 10 and Tom's crew makes its move. They buy as much as they can without raising suspicion. The stock rises anyway. It goes back up to 11, then 12, and rounds over at 13 before heading back down.

Several months go by, and the economic outlook is as bleak as ever. The stock eases down below 10. After Tom checks in with Jim for the latest